

SENATE BILL 1722

By Harshbarger

AN ACT to amend Tennessee Code Annotated, Title 56,
Chapter 7, Part 23, relative to medical
laboratories.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 56-7-2357(b), is amended by
deleting the subsection and substituting:

(b) A health insurance issuer or a managed health insurance issuer shall not:

(1) Deny a licensed medical laboratory the right to participate as a
participating provider in a policy, contract, or plan on the same terms and
conditions as are offered to another medical laboratory under the policy, contract,
or plan; provided, that this subdivision (b)(1) does not prohibit a managed health
insurance issuer or health insurance issuer from establishing rates or fees that
may be higher in nonurban areas, or in specific instances where a managed
health insurance issuer or health insurance issuer determines it necessary to
contract with a particular provider in order to meet network adequacy standards
or patient care needs;

(2) Prevent a person who is a party to or beneficiary of a policy, contract,
or plan from selecting a licensed medical laboratory of the person's choice to
furnish the medical laboratory services offered under the contract, policy, or plan;
provided, that the medical laboratory is a participating provider under the same
terms and conditions of the contract, policy, or plan as those offered to another
medical laboratory; or

(3) Except as provided in subsection (e), reimburse a non-network medical laboratory that is eligible to participate as a participating provider under this section for testing services at a rate that is less than the federal centers for medicare and medicaid services' clinical laboratory fee schedule for medical laboratories in this state.

SECTION 2. Tennessee Code Annotated, Section 56-7-2357, is amended by adding the following new subsection:

(e) A managed health insurance issuer may require that, in order to receive the rate of reimbursement specified under subdivision (b)(3), a non-network medical laboratory meet the same performance metrics required of in-network medical laboratories.

SECTION 3. This act takes effect July 1, 2026, the public welfare requiring it.